COURSE TITLE	**FINANCIAL ANALYSIS II**
COURSE CODE	
COURSE DURATION	**3HRS**
TYPE OF EXAMINATION	**WRITTEN EXAM**
LECTURER	**Dr. Ayankeng Godlove N.**

Instruction:

Answer ANY THREE (3) Questions; Take all your answers to three decimal places

All questions carry equal Marks (30 Marks)

Exercise one

You have been provided the following information for the monthly receipts and the monthly expenditures for enterprise **Eloma ltd**. This information concerns the monthly purchases and payment of materials for the first half of the year. The monthly purchases of materials cost the enterprise 5732 Frs for each month for the first half of the year.The labour cost amounted to 2866 frs for each month. (Jan to June)

- Overhead expenses were evenly shared and amounted 1854frs
- General Administration expenses amounted to 12000 FRS and were evenly shared for the period.
- Taxes were paid at the end of the 3rd month amounting to 1500 FRS and the new equipment were purchased in February and in June amounting to 8000 and 10000FRS respectively.
- Service fee amounted to 2503frs and was paid in June
  During the period, the enterprise made payments for the material purchase a month after they were effectively purchased

Work required

A- The total schedule of cash payment

B-Considering the monthly net cash receipt below

Elements	J	F	M	A	M	J
Cash Receipt	12600	14000	11000	14000	23000	16000

Present the statement to determine the ending cash balance. Given that the enterprise has an opening balance of 5000 FRS. It desires to have a minimum cash balance of 5000 FRS and in case the net cash goes beyond and the minimum net cash requirement the enterprise is require to borrow a minimum/ maximum of 5000 FRS.

Exercise two

An enterprise involved in the fabrication of products M01, M02 and M03 is analyzing the need in machines. During this period the enterprise produced 3000, 2800 and 2500 products

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of MO1, MO2, M03 respectively. Initial stocks were estimated at 400 units, 300 units and 600 units for P01, P02 and P03 respectively. According to the ending stocks requirements, the enterprise estimates that 6%, 8% and 10% of initial stocks of MO1, MO2 and MO3 should serves as the ending stocks requirement. To produce the products above, the enterprise incurred the following categories of costs.

Element	MO1	MO2	MO3
Quantity of materials required(kg)	2500	1900	2300
Unit material cost	20	24	26
Other material unit cost	2	4	2
Unit Labour cost	110	100	80
Unit selling price	230	390	350

Work required

If the enterprise sold 80% of the goods produced. Determine;

a) The production schedule

b) The Account for expenses

c) The Sales projection

d) Determine the monthly sales income if 40% of revenue was received in the month of sales, 35% a month after sales and the balance in the second month of sales.

e) The pro-forma income statement

Question three

Enterprise MANU ltd has provided the following information for the period of 2022 trading period

	Product A (2021)	Product B(2022)
Sales	8 200 000	10 600 000
Cost	6 000 000	4 500 000
Transport cost	85 000	0
Additional cost of goods sold	500 000	243 000
Selling expense	600 000	300 000
Realized depreciation expenses	150 000	180 000
Interest expense	60 000	

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Statement of Financial Position

Assets	End of 2021	End of 2022
Current Assets		
Cash	90 000	120 000
Marketable securities	30 000	30 000
Account receivables	510 000	600 000
Stocks of goods	480 000	540 000
Paid expenses	90 000	60 000
Long term investment	60 000	150 000
Equipment	3000 000	3300 000
Depreciation(Equipment)	1650 000	1800 000

Liabilities and stock holders EQ.	End of 2021	End of 2022
Account Payable	135 000	240 000
Notes Payable	300 000	300 000
Accrued expenses	105 000	90 000
Bonds payable, X-1	120 000	270 000
Preferred stocks	150 000	150 000
Common stocks	300 000	300 000
Capital paid in excess	750 000	750 000
Retained earnings	750 000	900 000

Work required

a) Establish the separate (2021 and 2023) income statement given the enterprise had an outstanding debt of 25 000 000 fcfa for each year with an interest rate of 1% and a company tax rate of 27.5%

b) Establish the combined income statement given the enterprise had an outstanding debt of 25 000 000 fcfa with an interest rate of 1% and a company tax rate of 33%

c) Determine the working capital for both years

d) Determine the production schedule and gap analysis in amount if **MANU ltd** was engaged in the production of **P1** and **P2**, within a certain period the enterprise fabricated 1850 units of **P1** at the cost of 4000frs each ,1180 **P2** at the cost of 1500 frs each, other costs included labor cost and overhead estimated at 500000 and 600000 for **P1** and **P2** respectively. The beginning inventory for **P1** and **P2** were 100 and 120 respectively with 80 and 65 units of **P1** and **P2** respectively to serve as closing stocks.

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Exercise four

Enterprise KING has provided the following information for the period of 2022 trading period

Sales of goods	6 000 000
Cost of goods sold	4 000 000
Additional cost of goods sold	500 000
Selling expense	600 000
Administrative expenses	200 000
Other Administrative expenses	10 000
Depreciation expenses	150 000
Interest expense	60 000
Taxes	140 000
Other Taxes	8 500

Statement of Financial Position

Assets	End of 2021	End of 2022
Current Assets		
Cash	90 000	120 000
Marketable securities	30 000	30 000
Account receivables	510 000	600 000
Stocks of goods	480 000	540 000
Paid expenses	90 000	60 000
Long term investment	60 000	150 000
Equipment	3000 000	3300 000
Depreciation(Equipment)	1650 000	1800 000

Liabilities and stock holders EQ.	End of 2021	End of 2022
Account Payable	135 000	240 000
Notes Payable	300 000	300 000
Accrued expenses	105 000	90 000
Bonds payable, X-1	120 000	270 000
Preferred stocks	150 000	150 000
Common stocks	300 000	300 000
Capital paid in excess	750 000	750 000
Retained earnings	750 000	900 000

Work required

e) Establish the income statement; f) Establish the cash flow statement from operating activities g) Establish the cash flow statement from investment activities

h) Establish the cash flow statement from financial activities

i) Calculate the Profit margin; Calculate the Return on Assets (investment)

j) Calculate the Return on Equity

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Exercise five: Financial Ratio Analysis

You have been provided with the financial information of enterprise BRION and JEMIMA for the 2021 trading period.

	Enterprise BRION	Enterprise JEMIMA
Elements	**Amount 2021(CFA)**	**Amount 2021(CFA)**
Cash	2,600,000	3,600,000
Debtors	3,400,000	6,300,000
Stocks	12,300,000	9,500,000
Plant and equipment	16,950,000	24,000,000
Sundry creditors	9,100,000	10,500,000
Debentures	5,500,000	10,500,000
Equity share capital	11,000,000	17,500,000
Returned earnings	9,650,000	5,000,000
Sales of goods	56,000,000	82,800,000
Cost of goods sold	40,000,000	64,800,000
Other operating expenses	8,000,000	8,600,000
Interest expenses	400,000	800,000
Income taxes	38,800,000	3,900,000
Dividends	100,000	1,800,000

Work required.

1) Your task is Determine the following financial ratios for both enterprises
   a) Current Ratio
   b) Quick Ratio
   c) Cash Ratio
   d) Return on equity
   e) Debt service coverage ratio
   f) Average Collection Period
   g) Stock holding period
2) Which company is using the shareholder's money more profitably?
3) Which company is better able to meet its current debts?

End

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